

OWNER FINANCING CONTINGENCY ADDENDUM

ADDENDUM dated _____ to Contract of Sale
between Buyer _____
and Seller _____
for Property known as _____

Owner financing is a complex transaction governed by many State and Federal laws. Real estate brokers are not qualified, nor licensed, to ensure that the terms of this Owner Financing Contingency Addendum comply with these laws. Buyer and Seller are strongly advised to consult with a competent legal professional.

1. **CREDIT TERMS.** The terms of the Credit Documents referred to in this Owner Financing Contingency Addendum are as follows:

- Principal. \$ _____ principal amount of the note (the "Note");
- Interest. Interest at _____ % per ☐ month or ☐ other _____.
- Remaining principal balance due in _____ years.
- First payment due on _____. Additional principal payments, balloon payments or other terms as follows:

2. **CREDIT INFORMATION.** Within _____ (____) days after the execution of the Owner Financing Contingency Addendum, Buyer shall furnish all credit, employment, and financial information reasonably required by Seller ("Credit Information"). Buyer ☐ **SHALL** or ☐ **SHALL NOT** provide Seller with copies of IRS tax returns for the two preceding tax years. Buyer shall provide to Seller, at Buyer's expense, a current credit report on Buyer from a consumer credit reporting agency. Buyer acknowledges that Seller may contact Buyer's current employer for verification of employment.

3. **SELLER'S RIGHT TO CANCEL.** If Seller determines, in Seller's sole discretion, that the Credit Information is unacceptable, Seller, within _____ days of receiving the Credit Information, may either: (i) cancel the Contract of Sale by delivering a Unilateral Notice of Termination Under Contract of Sale to Buyer and all Deposit(s) shall be disbursed in accordance with the Deposit paragraph of the Contract or (ii) resolve in writing with Buyer any objections Seller has with the Credit Information.

3.1 **Failure To Cancel Or Resolve Objections.** If Seller fails to cancel the Contract of Sale or attempt to resolve in writing any objections Seller has with the Credit Information, as provided in Section 3 of this Addendum, Seller shall be deemed to have waived Seller's right to cancel the Contract of Sale pursuant to Section 3 of this Addendum.

4. **CREDIT DOCUMENTS.** Seller's extension of credit to Buyer shall be evidenced by : ☐ **Note and Deed of Trust;**
or ☐ **Other** _____ (**hereinafter "Credit Documents"**) and shall be recorded
against the Property at settlement.

4.1 **Creation of Documents.** The Seller shall pay for and be responsible for the creation of the Credit Documents.

4.2 **Deadline for the Delivery of the Credit Documents.** The Seller shall provide the Credit Documents to the Buyer within _____ (____) days from the execution of the Owner Financing Contingency Addendum.

4.3 Right to Cancel or Resolve Objections. If the Buyer determines, in the Buyer's sole discretion, that the Credit Documents are unacceptable, the Buyer, within _____ (_____) days following receipt of the Credit Documents, may either (i) cancel the Contract of Sale by delivering a Unilateral Notice of Termination Under the Contract of Sale to the Seller and all Deposit(s) shall be disbursed in accordance with the Deposit paragraph of the Contract or (ii) resolve in writing with the Seller any objections the Buyer has with the Credit Documents.

4.4 Failure to Cancel or Resolve Objections. If the Buyer fails to cancel the Contract of Sale or fails to resolve in writing with the Seller any objections the Buyer has arising from the Credit Documents, as provided in Section 4.3 of this Addendum, the Buyer shall waive any right to cancel the Contract of Sale based on the Credit Documents.

5. TITLE INSURANCE. Buyer ☐ **SHALL** or ☐ **SHALL NOT** provide to Seller a lender's policy of title insurance in the amount of the indebtedness to the Seller, and, if applicable, shall pay for such policy at settlement.

6. DISCLOSURE OF TAX IDENTIFICATION NUMBERS. By no later than settlement, Buyer and Seller shall disclose to each other their respective Social Security Numbers or other applicable tax identification numbers so that they may comply with federal laws on reporting mortgage interest in filings with the Internal Revenue Service.

7. ADDITIONAL TERMS.

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All other terms and conditions of the Contract of Sale remain in full force and effect.

Buyer	Seller
Date	Date
Buyer	Seller
Date	Date